WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

PALESTINE (WEST BANK AND GAZA)

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Ramallah and Al-Bireh	Administrative centre of the Palestinian Authority and base for the Palestine Monetary Authority, ministries and most bank and corporate head offices	Financial services, ICT, professional services, government relations
Hebron	Major industrial centre of the southern West Bank; access in the H2 area is restricted, with 34 of the West Bank's 89 permanently staffed checkpoints located there	Stone and marble, food processing, light manufacturing
Nablus and the northern West Bank	Northern commercial and manufacturing centre with an agricultural hinterland; refugee camps in Jenin and Tulkarm remain closed to returning displaced families	Food and beverage, pharmaceuticals, furniture, agriculture
Jericho and the Jordan Valley	Home to the Japan-backed Jericho Agro-Industrial Park, managed by PIEFZA under the Corridor for Peace and Prosperity linking Palestine, Israel and Jordan	Agro-processing, logistics, fresh produce
Bethlehem	Leading tourism and heritage destination, where visitor numbers depend on regional security and access conditions	Tourism, hospitality, handicrafts
Gaza Strip	Economy 84% below its 2023 level after the war; an EU-UN-World Bank assessment puts recovery needs at $71.4 billion over ten years, though large-scale reconstruction has not yet begun	Water, energy, housing, debris recycling, agri-food
Palestine Exchange (PEX)	Listed market with capitalisation of $5.1 billion in Q2 2026, offering access to established groups in banking, telecoms and manufacturing	Banking, telecoms, consumer goods, investment holdings

INVESTOR ENTRY ROUTES

- Palestinian Investment Promotion Agency (PIPA), which approves qualifying projects for incentives under the Law on the Encouragement of Investment: 5% income tax for up to five years, then 10% for three years
- Companies Law (in force since April 2022), which removed foreign-equity limits and local-partner requirements and introduced online incorporation and limited liability companies

- Palestinian Industrial Estates and Free Zones Authority (PIEFZA) sites, including the Jericho Agro-Industrial Park developed with Japanese support
- Palestine Monetary Authority (PMA) supervision of banking; there is no national currency and the economy operates mainly in the Israeli shekel, alongside the Jordanian dinar and US dollar
- Co-investment with development finance institutions, following the model of the 2024 IFC, EBRD and PROPARCO package of up to $100 million for Bank of Palestine
- Donor-backed recovery platforms, including the World Bank-administered Palestinian Fund for Reconstruction and Development and UNDP's proposed Gaza Economic Recovery Programme for small and medium enterprises
- Listed-equity participation through the Palestine Exchange, where established companies such as APIC reported record 2025 sales of $1.31 billion across six regional markets

MARKET-ENTRY OBSERVATION

The Palestinian economy is recovering slowly from the shock of the Gaza war. According to the Palestinian Central Bureau of Statistics (PCBS), GDP rose 4% in 2025, with the West Bank up 4.4% and Gaza down a further 8.7%, but output remained 24% below its 2023 level. Activity contracted 4.8% year-on-year in Q1 2026 and 1.0% in Q2, although exports rose 18.2% and household spending 7.0% in Q2. Unemployment averaged 46% in 2025 (28% in the West Bank, 78% in Gaza). The private sector has proved adaptable: the Palestine Exchange's Al-Quds index rose 11.6% year-on-year to Q2 2026, and leading groups such as APIC have grown regionally. Reform steps include the 2022 Companies Law, the end of the prisoner-payment system in August 2025, recognition of the State of Palestine by the UK, Canada and Australia in September 2025, and legislative elections called for 28 November 2026.

The main structural challenge is the Palestinian Authority's fiscal and financial position. Israel has suspended transfers of clearance revenues, about two-thirds of PA income, since May 2025, withholding over ILS 13 billion in total; the PA pays partial salaries and has accumulated arrears of about ILS 20.5 billion, alongside debt of ILS 14.2 billion owed mainly to local banks. Palestinian banks also hold ILS 17–18 billion in excess shekel cash against an annual transfer ceiling of ILS 18 billion, and the two Israeli banks providing correspondent services, handling about ILS 51 billion a year, have agreed to continue only until the end of 2026. Mitigation comes from EU budget support (€310 million committed for 2026–27), a PMA anti-money-laundering framework built to international standards, and €883.6 million in early-recovery funding under the Team Gaza Initiative. Investors who establish compliant structures and DFI partnerships now will be positioned for recovery and reconstruction when conditions allow.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Conflict and humanitarian conditions in Gaza	A ceasefire has applied since 10 October 2025, but more than 1,400 people have been reported killed since then, Israel controls about 60% of the Strip, and about 1.4 million people face food insecurity	Operate through UN, donor and DFI frameworks with full security and duty-of-care planning; prepare for the $26.3 billion of 18-month recovery needs identified by the April 2026 assessment
Movement and access in the West Bank	OCHA recorded 925 movement obstacles at end-2025, 43% above the 20-year average, and most Israeli work permits for Palestinians have been revoked or suspended since October 2023	Build travel-time and logistics buffers into operations; favour digital services, local supply chains and sites with reliable access
PA fiscal position and clearance revenues	Clearance-revenue transfers have been suspended since May 2025, leading to partial salary payments, arrears of about ILS 20.5 billion and reduced public spending	Limit exposure to government receivables; structure contracts around donor-funded or private counterparties, supported by EU PEGASE and multilateral budget support
Correspondent banking and excess shekel cash	Israeli banks' correspondent services depend on government indemnity waivers and are extended only to the end of 2026; banks hold ILS 17–18 billion of excess shekel cash	Use well-capitalised Palestinian and Jordanian banks, plan alternative payment routes, and track Israeli government decisions on a permanent correspondent arrangement
Counter-terrorism financing and sanctions	Hamas is a designated terrorist	Commission sanctions and legal counsel,

Issue	Potential Impact	Possible Mitigation
compliance	organisation in the UK, US and EU, and Israeli banks cite terrorism-financing and money-laundering risks; Israeli legislation also allows recurring deductions from PA revenues	apply enhanced due diligence and beneficial-ownership screening, and work through PMA-supervised banks and DFI-vetted partners
Political transition on both sides	Israel votes on 27 October 2026 and Palestinian legislative elections are called for 28 November 2026, with a presidential vote expected in early 2027	Phase commitments around these milestones; elections could clarify governance and the policy framework for reconstruction and banking
Trade dependence on Israel	Under the 1994 Paris Protocol, Palestine's trade policy follows Israel's; 89% of exports went to Israel in December 2025 and about 90% of trade passes through Israel	Use duty-free EU access for industrial goods and pan-Euro-Mediterranean cumulation, and regional channels through Jordan, to diversify markets

INVESTOR RISK NOTE

Investment in Palestine is subject to conditions that set it apart from most markets in this series. The Gaza ceasefire of October 2025 has reduced the intensity of the conflict but not ended violence; no international stabilisation force has deployed, the National Committee for the Administration of Gaza operates from Cairo, and humanitarian funding for 2026 was 37% secured by late July. In the West Bank, movement restrictions, the suspension of clearance revenues and the uncertain future of correspondent banking are the key operating constraints. Investors must comply with counter-terrorism financing laws, including UK, US and EU designations of Hamas, and should take legal and sanctions advice, screen all counterparties and transact only through regulated channels. Mitigation is available: DFIs and donors offer co-investment, guarantees and political-risk cover; the PMA maintains an anti-money-laundering framework built to international standards; and the private sector has shown resilience. The opportunity lies in lawful, well-structured activity in the West Bank today and in readiness for Gaza reconstruction as access, governance and financing arrangements are established.

MARKET ACCESS

Palestine's trade operates under the 1994 Paris Protocol, which aligns its trade policy with Israel's and means that about 90% of Palestinian trade, including food, fuel and medicines, passes through Israel; Israel took 89% of exports and supplied 59% of imports in December 2025. The EU-PLO Interim Association Agreement (1997) gives Palestinian industrial goods duty-free access to the EU, with agricultural liberalisation in force since 2012 and extended in 2021, and Palestine has belonged to the pan-Euro-Mediterranean rules-of-origin convention since 2014. EU-Palestine goods trade totalled €403 million in 2025, mostly EU exports. Jordan provides the main regional link via the Jericho area, and Palestinian groups such as APIC already operate in Jordan, Saudi Arabia, the UAE, Iraq and Turkey. Greater recognition of the State of Palestine since September 2025 has widened diplomatic channels, although the practical gains for trade depend on access and on arrangements with Israel.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Mahmoud Abbas) and Council of Ministers	Sets PA policy on reform, elections and reconstruction priorities, and leads engagement with donors	Primary reference point for the PA's strategic direction and reform commitments
Palestinian Investment Promotion Agency (PIPA)	Approves qualifying projects for tax incentives under the Law on the Encouragement of Investment	First point of contact for incentive eligibility and registration
Palestine Monetary Authority (Governor Yahya Shunnar)	Regulates banks and leads talks on correspondent banking, excess shekel cash and anti-money-laundering standards	Essential for understanding payment channels and banking-sector conditions
Ministry of Finance	Manages PA revenues, including clearance revenues, arrears and donor	Relevant for assessing public-sector

Actor	Why It Matters	Waverley Engagement Angle
	budget support	counterparty and payment risk
Palestinian Industrial Estates and Free Zones Authority (PIEFZA)	Manages industrial estates, including the Jericho Agro-Industrial Park, and provides tenant incentive services	Route to serviced industrial land for manufacturing and agro-processing
Palestine Investment Fund	The Palestinian sovereign investment fund and an established partner for infrastructure, housing and private-sector projects	Potential co-investor for larger projects in the West Bank and, in time, Gaza
Board of Peace and National Committee for the Administration of Gaza	The Board was recognised by the UN Security Council as Gaza's transitional administration and has set out a 66-project, $2.4 billion early recovery plan	Key reference point for Gaza reconstruction planning, procurement and eligibility

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Palestinian Federation of Industries and the Gaza Chamber of Commerce and Industry are the main channels to local enterprises and are partners in UNDP's Gaza recovery planning, while the Association of Banks in Palestine represents the banking sector. Among development finance institutions, the IFC, EBRD and PROPARCO are shareholders in or lenders to Bank of Palestine, and the World Bank's Palestinian Fund for Reconstruction and Development channels donor co-financing. The EU, through PEGASE and the Team Gaza Initiative, is the leading source of budget and recovery support, and Japan sponsors the Corridor for Peace and Prosperity. UNDP has identified diaspora bonds and solidarity funds as channels for regional and diaspora capital.

INVESTOR PROFILE BEST SUITED

Palestine suits investors with patient capital, a high tolerance for operating constraints and robust compliance capabilities: development finance institutions and impact funds using blended finance and guarantees; diaspora and Gulf or Jordanian investors with established regional networks; strategic investors in banking, telecoms, consumer goods and ICT services in the West Bank; and suppliers of water, energy, agri-food and construction services prepared to work within donor-funded recovery programmes in Gaza. Conventional short-horizon capital is less suited to current conditions.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission legal, sanctions and counter-terrorism-financing due diligence
Engage specialist counsel to screen counterparties, confirm beneficial ownership and check UK, US, EU and Israeli legal requirements before committing funds.

STEP 2: Confirm banking and payment channels
Work with the PMA and PMA-supervised banks to set up compliant payment routes, with a contingency plan for the end-2026 correspondent-banking deadline.

STEP 3: Partner with DFI and donor platforms
Explore co-investment, guarantees and political-risk cover with the IFC, EBRD, PROPARCO, the World Bank's reconstruction fund and UNDP's recovery programme.

STEP 4: Prepare for Gaza reconstruction
Align capabilities with the priorities of the April 2026 needs assessment and the Board of Peace recovery plan, and register with relevant donor procurement systems.

STEP 5: Track political and fiscal milestones
Monitor Israeli government formation, the 28 November 2026 legislative elections, clearance-revenue transfers and the stabilisation force before scaling commitments.